

CHAPTER: 1

NATURE OF FINANCIAL MANAGEMENT

- Q.1. Define the scope of financial management. What role should the financial manager play in a modern enterprise?
- A.1. The scope of the financial management is to secure the capital needed by the enterprise, and employ it in production and marketing activities, in such a way that it can generate the sufficient returns on invested capital, with an intention to maximise the wealth of the owners.
The financial manager plays the crucial role in the modern enterprise by supporting investment decision, financing decision, and also the profit distribution decision. He/she also helps the firm in balancing cash inflows and cash outflows, and in turn to maintain the liquidity position of the firm.
- Q.2. How does the modern financial manager differ from the traditional financial manager? Does the modern financial manager's role differ for the large diversified firm and the small to medium size firm?
- A.2. The traditional financial manager was generally involved in the regular finance activities, e.g., banking operations, record keeping, management of the cash flow on an regular basis, and informing the funds requirements to the top management, etc. But, the role of financial manager has been enhanced in the today's environment; he/she takes an active role in financing, investment, distribution of profits, and liquidity decisions. In addition, he/she is also involved in the custody and safeguarding of financial and physical assets, efficient allocation of funds, etc.
The role of financial manager in case of diversified firm is more complicated in comparison with a small and medium size firm. A diversified firm has several products and divisions and varied financial needs. The conflicting interests of divisional managers make the work of financial manager quite difficult in a diversified firm.
- Q.3. "...the function of financial management is to review and control decisions to commit or recommit funds to new or ongoing uses. Thus, in addition to raising funds, financial management is directly concerned with production, marketing and other functions within an enterprise whenever decisions are made about the acquisition or destruction of assets" (Ezra Solomon). Elucidate.
- A.3. All functions – production, marketing etc.- require finances. The financial manager supports other functional managers and top management to deploy the scarce resources, in such operating activities that can generate the sufficient level of return to the firm. This gives rise to the need of proper, efficient and effective utilisation of resources. In modern era, financial manager achieves this by providing support for operating decisions. He also helps in planning and implementing sound financial procedures and systems.
- Q.4. What are the basic financial decisions? How do they involve risk-return trade-off?
- A.4. The basic financial decisions include long-term investment decision, capital structure decision, (i.e., financing decision), profit allocation decision (i.e., dividend distribution decision), and liquidity decision. Each and every investment decision would yield benefits in future. To evaluate

the investment criteria, the firm will estimate the future profitability, and probable rate of return on proposed investment, and compare the same with the cut-off rate (i.e., the generally accepted minimum level of return on investment). Because of uncertain future, investment decisions involve risk. An investor will expect higher return from an investment if risk is high. For a lower risk investment, the expected return will be lower. This is referred to the risk-return trade-off. The financial decisions jointly affect the market value of shares by influencing the return and risk of the firm.

Q.5. "The profit maximisation is not an operationally feasible criterion". Do you agree? Illustrate your views.

A.5. The profit maximisation concept does not specify clearly whether it mean short or long-term profit, or profit before tax or after tax. In addition, in the free economy and perfect competition, businessmen pursue their own interests to maximise the profit by utilisation of resources in the efficient and effective way.

Let us assume that the maximising the profit means maximising profit after tax, i.e., net profit as reported by income statement of the business firm. It should be understood that this would not maximise the welfare of the owners if some short-term actions were taken to improve profit. For example, the manager may sell some of the assets and then invest funds in low-yielding assets. The profit after taxes would go up in the short-term but the long-term profitability will suffer.

Q.6. In what ways is the wealth maximising objective superior to the profit maximisation objective? Explain.

A.6. The wealth maximising objective means maximising the net present value, i.e., wealth of the owner. The net wealth of the owner is the difference between the present value of its benefits and the present value of its costs. Any action that has a positive NPV creates wealth for the owner.

The profit maximising objective tries to maximise the profit after tax, i.e., net profit, which in the long term may reduce the net worth of the owner. (This is explained in answer no. 5). The profit maximisation concept basically ignores the time value of money and the risk involved in firm's activities, which are very well taken care by wealth maximisation concept.

Q.7. "The basic rationale for the objective of wealth maximisation is that it reflects the most efficient use of society's economic resources and thus leads to a maximisation of society's economic wealth" (Ezra Solomon). Comment critically.

A.7. The shareholder wealth will be maximised only when customers are satisfied and workers are well paid so that they work in the interest of customers. The wealth maximisation motivates entrepreneurs to produce goods and services by efficient allocation of resources. This in turn will maximise the net present value of society.

Q.8. How should the finance function of an enterprise be organised? What functions do the financial officers perform?

A.8. The finance function of a firm is generally headed by the Incharge of Finance Department, who may be known as Director of Finance or President (Finance) or General Manager (Finance), etc. depending on the structure and size of the firm. As the ultimate responsibility of top management to take crucial decision for the survival of the firm and to maintain the solvency of

the firm, the head of finance department reports to the Chairman and Managing Director of the company, and he will be one of the executive members of the Board of Directors.

The finance officer will function as treasurer and controller. As a treasurer, he will look after efficient and effective funds management, while as a controller, he will look after the operational requirements of the firm.

Q.9. Should the titles of controller and treasurer be adopted under Indian context? Would you like to modify their functions in view of the company practices in India? Justify your opinion.

A.9. The title of controller and treasurer is not being widely followed in India. In India, generally the officer designated as Financial Controller performs the functions of chief accountant and management accountant. In India, the title of the finance head is generally Finance Manager who is involved in the management of company's funds.

Q.10. When can there arise a conflict between shareholders and managers goals? How does wealth maximisation goal take care of this conflict?

A.10. The company is a complex organisation of various interested stakeholders like owners, employees, creditors, customers and government, etc. It should be the endeavour of the management to reconcile the objectives of the different stakeholders. Shareholders are principals and managers are their agents. Managers may not necessarily work in the interest of shareholders. They may work in their self-interest and appropriate company funds in the form of higher perks and salaries. To control managers' actions, shareholders will have to incur monitoring costs. To minimise the conflict, managers should be given incentives to become owners along with shareholders (through stock options).

Since shareholders get their wealth only when the firm has created value for customers and kept the employees satisfied, the wealth maximisation is generally in harmony with the interests of all stakeholders. It is also consistent with the management objective of survival.